SB 1090 — Myth vs. Fact

> *Altadena Recovery Watch. SB 1090 (Sen. Pérez) places a narrow, time-limited pause on the by-right, no-hearing pathways (SB 9 and SB 1123) that out-of-town developers are using to subdivide burned Altadena lots into as many as ten units — so survivors can recover on their own terms. It repeals no housing law and removes no home that gets built. Advocacy material, not legal advice.*

By the numbers

- **~3,715** rebuild applications received, **~2,951** permits issued, and **~1,725** homes in construction in the County's unincorporated fire area (overwhelmingly Altadena/Eaton), as of June 21, 2026 — almost none through SB 9 or SB 1123.
- **~2%** — SB 9 and SB 1123 combined as a share of all rebuild applications (~74 of ~3,715). **SB 1123 alone is under 1%.**
- **100%** — of the SB 1123 subdivision applications we've identified are filed by out-of-town corporate developers who bought the lot after the fire. **Not one** is a returning Altadena homeowner.
- **1 of 49** — County-listed SB 9 projects that is an actual lot split (filed by a family). The rest are residents rebuilding and adding dwelling units without subdividing — the County's 2026 ADU ordinance already permits a primary home plus up to four accessory units on a single-family lot, no subdivision required.

Myths and facts

MYTH: SB 1090 freezes rebuilding and prolongs displacement.

FACT: It pauses only by-right *subdivision* of a burned lot into as many as ten units. Every survivor keeps the fast like-for-like rebuild, ADUs, and disaster permitting. The data show rebuilding is already happening at scale without these pathways: by June 21, 2026 the County had received **~3,715 rebuild applications**, issued **~2,951 permits**, and had **~1,725 homes in construction** — and SB 9 and SB 1123 together account for only about 2% of those applications. Pausing speculative lot-splitting does not slow the recovery.

MYTH: Locals rely on SB 9 and SB 1123 to rebuild, so pausing them hurts residents.

FACT: Together they are **~2%** of all rebuild applications (about 74 of ~3,715); **SB 1123 alone is under 1%.** Of roughly **58 SB 9 filings, only one is a lot split** (by a family) — the rest are residents rebuilding their own homes. By contrast, **every one of the ~16 SB 1123 subdivisions we've identified traces to an out-of-town corporate buyer** who purchased the lot after the fire — not one returning resident.

MYTH: SB 1090 singles out Altadena and denies its homeowners rights other Californians have.

FACT: The State already gave the Pacific Palisades this exact protection by executive order (**N-32-25**) after *the same firestorm*. SB 1090 asks only for the same. It is look-forward, time-limited disaster relief, bounded to **ZIP Codes 91001 and 91003** for applications submitted **January 2027 through January 2030** — not a permanent or unique burden.

MYTH: Developers pay survivors a premium, and single-family rebuilding "doesn't pencil."

FACT: Recorded sales show the opposite. On East Mendocino, a single-family buyer paid **$1,865,000** for one burned lot (29,541 sq ft) while the subdivider next door is in escrow at roughly **$1,600,000** for ten units — about **$265,000 less**. Large burned lots have sold arm's-length at about **$58–63 per square foot** (e.g., 1625 Braeburn Drive, $2,088,000), versus the roughly **$20 per square foot** the developers' own "single-family value" implies — about a third of the market. They acquire at or below market; the multi-unit yield is value the statute hands the developer, not a premium paid to survivors.

MYTH: Blocking subdivision means a wealthy-only Altadena.

FACT: A false choice. The County's own ADU ordinance already allows a primary home plus **up to four dwelling units on a single lot — with no subdivision** (and SB 1123 lots are actually *barred* from ADUs). What subdivision delivers is market-rate, townhome-style units capped by statute at **1,750 sq ft average** (Gov. Code §66499.41) — built for the upwardly mobile, not for the multi-generational families who gave Altadena its character. Income-diverse recovery comes through land trusts, ADUs, and corridor housing.

MYTH: Each subdivision includes an affordable home, so it serves affordability.

FACT: *Nothing in the law requires it.* SB 9 and SB 1123 carry **no affordability requirement and no obligation to deed-restrict a single unit** on these lots. SB 9 mandates no affordable unit at all; SB 1123's only affordability trigger reaches parcels a jurisdiction's housing element designates for low-income housing — which Altadena's burned single-family lots are not. So any "affordable" home a developer touts is voluntary marketing, not a legal obligation. And even that one optional unit would leave **nine at market rate**, set at **120% of area median income** — roughly **$128,000 for a family of four**, moderate not low income — with **none reserved for fire survivors**. A single covenanted unit is not an affordability program.

MYTH: Builders are the only way burned lots come back.

FACT: Survivors and owner-builders are already buying and rebuilding — **~2,951 permits issued and ~1,725 homes in construction** as of June 2026, the overwhelming majority through ordinary permits, not subdivision. The obstacle is being outbid by investors, not a shortage of subdivision rights: by-right subdivision lets a developer bid up land across the burn area, pricing families out, and selling only to the upwardly mobile gentrifiers. Pausing it returns land to a price families can pay.

MYTH: A County brochure promoted SB 1123, so buyers acquired vested rights.

FACT: A brochure is not a vested right. Under California law (*Avco Community Developers v. South Coast Regional Comm.*, 1976), vesting requires an issued permit plus substantial, good-faith construction; SB 1090 reaches only projects with no permit. The brochure was aimed at survivors dividing and selling part of their own land — not at outside investors buying whole lots to subdivide. Where government erred, it should be free to correct course going forward.

MYTH: Adding homes on these lots is safe — projects still pass fire and water checks.

FACT: Will-Serve letters and fire sign-off are unit-by-unit checks, not a cumulative evacuation or system-capacity study. Altadena's foothill blocks sit on narrow, often single-access streets that just failed in a deadly evacuation — many on septic, without sidewalks, on a grid still being rebuilt. **The County's own Planning memo (Dept. of Regional Planning, May 18, 2026)** says the state mandate lands density where *"infrastructure or site* *requirements do not meaningfully support"* it, and flags SB 1123 as posing *"similar challenges."*

The ask

Support SB 1090, and pass it without delay — prospective, time-limited relief that lets Altadena's survivors, not speculators, set the terms of recovery.

Sources

- L.A. County Permitting Progress Dashboard, recovery.lacounty.gov (as of June 21, 2026) — rebuild applications, permits issued, homes in construction.
- Altadena Recovery Watch SB 9 / SB 1123 tracker, compiled from L.A. County CREC/CREB and RPPL permit records and the L.A. County Dept. of Regional Planning SB-9 project list (May 18, 2026).
- Recorded deeds and MLS land sales: 1661 and 1691 E Mendocino St; 1625 Braeburn Dr.
- Gov. Code §66499.41 (Starter Home Revitalization Act) — 1,750-sq-ft average-size cap; 60-day deemed-approved timeline.
- L.A. County Dept. of Regional Planning, memorandum *Eaton Fire Recovery — Altadena — SB 9 Projects* (A. Bodek, Director, May 18, 2026).
- Executive Orders N-32-25 (Palisades SB-9 relief) and N-4-25 (110% like-for-like rebuild cap).
- *Avco Community Developers v. South Coast Regional Comm.* (1976) — California vested-rights standard.
- 2026 L.A. County ADU Ordinance guide.